

Financials - Taiwan

Insurance vs bank: Trading based on historical performance and tech exposure

Industry Overview

Insurance vs bank, investment vs interest, AI vs less AI

Most investors in the Taiwan market favor tech/AI stocks, which account for >60% of total market cap in Taiwan, but we see rising interest in Taiwan financial stocks. In our view, there are two types of investors who trade Taiwan financial stocks: financial specialists who cover global or Asian financial sectors, and hedge fund investors who use financial stocks to balance their Taiwan portfolio or to hedge. The major Taiwan financial institutions we cover can be grouped based on their business mix: insurance-centric, like Fubon and Cathay, and bank-centric like E.Sun. CTBC sits in the middle, as the revenue contribution from its banking and insurance businesses is similar, while Chailease is distinctive given its leasing business and Mainland China exposure. The insurance-centric FHCs are more exposed to market performance, as they invest in stocks, and investment income is the key driver of their earnings when changes in insurance underwriting income are not volatile.

Preference in three different scenarios

Though most Taiwan financial stocks reported strong earnings growth in the past 3-4 years, when Taiwan's macro economy and market were both booming, we have our preference in different scenarios.

- **Scenario 1:** When tech/AI sectors rally, insurance-centric companies tend to outperform bank-centric companies but are likely to underperform the TWSE index and tech/AI leaders. The TWSE's monthly performance was +7% or above in 8 of the past 32 months, and in these 8 months, Cathay outperformed E.Sun in all the periods while Fubon outperformed E.Sun in 5 months. However, Cathay and Fubon underperformed TWSE in 6 months.

- **Scenario 2:** When tech/AI sectors are stable, insurance-centric companies tend to perform similarly to bank-centric companies and likely outperform the TWSE. The chance is almost 50/50, as some funds may seek more balanced exposure to different sectors.

- **Scenario 3:** When tech/AI sectors drop, insurance-centric companies tend to underperform bank-centric companies, but likely outperform the TWSE. The TWSE's monthly performance was negative in 10 of the past 32 months. In these 10 months, Cathay/Fubon underperformed E.Sun in 6/7 months and outperformed TWSE in 6 months. Fund flows usually seek defensive stocks to hide in when tech/AI stocks correct.

AI exposure in E.Sun/Fubon/Cathay

It is difficult to have official estimates about AI exposure in different financial institutions, but we think our methods can give investors some angles to estimate. In short, we believe the AI impacts on different business lines, from big to small, are investment income > fee income, including wealth management fees and brokerage fees > interest income/asset quality. E.Sun's exposure is <10% when short-term market correction occurs, while Fubon/Cathay could be at 25-35%.

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Abbreviations

FHC = financial holding company

IFRS = International Financial Reporting Standard

TWSE = Taiwan Stock Market Index

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Refer to important disclosures on page 8 to 12. Analyst Certification on page 6. Price

How to invest in Taiwan financial stocks

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More data to show the shift between insurance and bank

In the past 32 months, from Jan 2024 to Aug 2026, the average monthly movement of the TWSE (Taiwan's main index, with a 42% contribution from TSMC and 79% from IT companies) was at 3.1%. When the TWSE grew >3.1%/<3.1% in a month, if Fubon/Cathay outperformed/underperformed E.Sun, we counted it as one hit; otherwise it was a miss. The hit rate for Cathay/E.Sun was 74% and 58% for Fubon/E.Sun. In the past 13 consecutive months, the Cathay/E.Sun hit rate was at 100%, indicating that the shift between insurance-centric and bank-centric along with tech stock movements has already become market consensus.

Exhibit 1: Cathay/E.Sun performance highly correlated to TWSE performance

Monthly performance of Taiwan FHCs and TWSE

	Fubon	Cathay	E Sun	CTBC	TWSE	Cathay vs E.Sun	Fubon vs E.Sun	
Jan-24	-0.5%	-3.5%	-4.1%	+0.4%	-0.2%	+0.6%	+3.6%	
Feb-24	+5.4%	+2.0%	+2.0%	+3.3%	+6.0%	+0.0%	+3.4%	Y
Mar-24	+2.5%	+8.0%	+7.9%	+12.4%	+7.0%	+0.1%	-5.4%	
Apr-24	-0.9%	+3.8%	+0.6%	+3.2%	+0.5%	+3.2%	-1.4%	Y
May-24	+6.2%	+11.3%	+4.4%	+3.8%	+3.8%	+6.9%	+1.8%	Y
Jun-24	+8.0%	+5.0%	-0.2%	+6.9%	+8.8%	+5.2%	+8.2%	Y
Jul-24	+11.2%	+5.8%	-5.1%	-6.2%	-3.6%	+10.9%	+16.4%	
Aug-24	+4.2%	+1.8%	+6.2%	-8.0%	+0.3%	-4.5%	-2.0%	Y
Sep-24	+3.3%	+4.7%	-0.5%	+5.4%	-0.2%	+5.3%	+3.8%	
Oct-24	+0.4%	+3.6%	-2.3%	+4.4%	+2.7%	+5.9%	+2.8%	
Nov-24	-3.1%	-4.6%	-1.5%	+4.2%	-2.4%	-3.2%	-1.6%	Y
Dec-24	+2.6%	+4.0%	-0.2%	+4.5%	+3.5%	+4.1%	+2.8%	Y
Jan-25	+2.8%	-2.2%	+3.2%	+0.0%	+2.1%	-5.4%	-0.4%	Y
Feb-25	-0.5%	+2.4%	+4.9%	+4.2%	-2.0%	-2.5%	-5.4%	Y
Mar-25	-7.6%	-10.5%	-1.4%	-3.2%	-10.2%	-9.2%	-6.2%	Y
Apr-25	-1.2%	-4.4%	-1.6%	-0.4%	-2.2%	-2.8%	+0.4%	
May-25	-5.6%	+2.2%	+5.3%	+3.9%	+5.5%	-3.1%	-10.9%	
Jun-25	+9.7%	+5.0%	+10.2%	+7.0%	+4.3%	-5.2%	-0.6%	
Jul-25	-5.6%	-3.0%	-1.4%	-5.6%	+5.8%	-1.6%	-4.2%	
Aug-25	+1.8%	+1.0%	+4.4%	-0.2%	+2.9%	-3.4%	-2.5%	Y
Sep-25	+7.9%	+6.7%	-0.3%	+4.3%	+6.6%	+7.0%	+8.2%	Y
Oct-25	+3.3%	-2.4%	-10.8%	-2.4%	+9.3%	+8.4%	+14.1%	Y
Nov-25	+1.5%	+0.3%	+2.0%	+3.8%	-2.1%	-1.7%	-0.5%	Y
Dec-25	+3.8%	+18.1%	+11.2%	+15.5%	+4.8%	+6.9%	-7.4%	
Jan-26	-5.4%	-0.5%	-1.0%	+1.4%	+10.7%	+0.5%	-4.4%	
Feb-26	+3.6%	+5.7%	+5.1%	+9.8%	+10.5%	+0.6%	-1.5%	
Mar-26	-8.7%	-11.8%	-9.5%	-8.2%	-10.4%	-2.3%	+0.8%	
Apr-26	+4.7%	+9.8%	+0.3%	+1.9%	+22.7%	+9.5%	+4.3%	Y
May-26	+22.2%	+11.0%	-2.8%	+15.7%	+14.9%	+13.8%	+25.0%	Y
Jun-26	+17.7%	+14.7%	+11.3%	+17.4%	+3.1%	+3.4%	+6.4%	Y
Jul-26	+0.4%	+3.3%	+12.2%	-8.6%	-6.5%	-8.9%	-11.8%	Y
Aug-26	+10.8%	+8.9%	+2.8%	-0.3%	+7.0%	+6.0%	+7.9%	Y

Source: Bloomberg

Business exposure to AI/tech stocks

It is difficult to have official estimates about AI exposure in different financial institutions, but we think our methods can give investors some angles to estimate. In short, we believe the AI impacts on different business lines, from big to small, are investment income > fee income, including wealth management fees and brokerage fees > interest income/asset quality.

E.Sun: Estimate <10% impact from market volatility

Before Sep 2026, when E.Sun consolidates the acquired E.Sun Life (previously Merc Life), E.Sun had its major revenue/net profit from its banking business. In FY25 and 7M26, the net profit from banking accounted for 92% and 89% of the total, and the rest was mainly from E.Sun securities which grew rapidly in the past 2-3 years as the turnover in Taiwan market surged.

The ~10% of the net profit from non-banking could be impacted by market turnover changes mainly. Unlike investment gains, turnover usually does not drop much even if the market suffers from significant volatility, as in July. A long-time bear market could hurt brokerage net profit, but we are not yet there.

In E.Sun's banking revenue, NII (Net Interest Income), net fee income and other income accounted for 47%, 31% and 12%. The main exposure to AI-related market volatility is in net fee income as the acceleration/deceleration of NII growth is linked to the changes of real economy instead of stock market and stock investment in other income is minimal.

In E.Sun Bank's net fee income in FY25, the fees from mutual fund sales, and bancassurance accounted for >70% of the total. The distribution of wealth management products (mutual funds and bancassurance) is more impacted by market changes and sentiment changes than other fee income.

With all the revenue sources being considered, we believe the AI-impacted part in E.Sun is about 25% of its total revenue. And as the majority of this 25% is fee income instead of investment income, the actual impact from short-term market volatility on E.Sun's revenue should be <10%, as fee income is more likely to decline but not disappear while investment income could become investment losses.

Fubon & Cathay: IFRS 17 helps?

Market performance changes have more complicated impact on insurance-centric FHCs as their insurance subsidiaries adopted IFRS 17 in 2026 with major accounting changes. As FY25 and historical data before 2026 can no longer be used to gauge the impact, we currently can only use 1H26 and some monthly data in 2026 to analyze.

Without taking FVOCI gains/losses into consideration, the net profit contribution from Taipei Fubon Bank was at 26% of the total, while it was at 57% from Fubon Life when investment income was impacted in Mar but later recovered in 2Q26. In a normalized market, we expect the mix to be 30% and 60%.

Our methods to gauge Fubon's exposure to AI/tech volatility are similar to those we use for E.Sun. In Fubon's banking business, net fee income accounted for ~25% of total operating income. IFRS 17, in our view, does not make investment income and bottom line of insurers less volatile. In Fubon's life insurance revenue, investment related income accounts for 50-75% of the operating income, depending on how bad/good the investment results are. If net investment related income drops 50% in one quarter, the impact on Fubon life's operating income will be 25-37%.

We estimate the short-term market volatility impact on Fubon's revenue at 25-35%, as investment income could be vulnerable to deep and quick market correction.

Cathay is marginally more resilient than Fubon, as the contribution from Cathay United Bank is at 35% of the total profit of Cathay, higher than Fubon, though bank fee income accounts for 30% of the bank operation income, slightly higher than Fubon. However, the overall impact is not very different between Fubon and Cathay in terms of their sensitivity to tech/AI impacts.

Exhibit 2: Stocks mentioned

Prices and ratings for stocks mentioned in this report

BofA Ticker	Bloomberg ticker	Company name	Price	Rating
XCIFF	2882 TT	Cathay FHC	NT\$ 111	B-1-7
ESUFF	2884 TT	E.Sun FHC	NT\$ 39.9	B-1-7
FUISF	2881 TT	Fubon FHC	NT\$ 145	B-1-7

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

Cathay FHC (XCIFF)

Our PO of NT\$118 is based on SOTP valuation using 2026 estimates, in which we apply: (1) 1.4x P/B for Cathay Bank for ROE 13% (2) 1.2x P/EV, with higher VNB and EV growth assumption, for Cathay Life, with a 4.0% investment return assumption. The multiple is in line with its major peer. FX impact is minimized under the new FX reserve rules (3) 1.5x P/B for P&C business, in line with its major peers, and (4) 1x P/B for other subsidiaries and FHC net debt in line with market practice.

The upside risks to our price objective: (1) Better-than-expected trading gains and recovery of NPLs, (2) bond yields to trend higher, or yield curve steepening, (3) better hedging performance, and (4) better-than-expected trade deal between the US and Taiwan, and/or the US and China.

The downside risks to our price objective: (1) Unexpected global tail risks to drag capital markets and lead to trading or FX loss if it exceeds FX reserve size, (2) flattening of US bond yield curve postponing the recovery pace of new money yield, (3) worse-than-expected asset write-offs if Cathay's bond portfolio issuer goes default.

E.Sun FHC (ESUFF)

Our PO of NT\$39.3 is based on SOTP valuation. >95% of the value comes from ESUN Bank.

The higher-than-peers P/B multiple we assign to E.Sun Bank (2.3x P/B for RoE estimate of 14%) is based on the Gordon growth valuation model, where we apply (1) 8.1% of cost of capital (10% required return, 0.5% risk-free rate, and beta of 0.8), and (2) 5% growth rate. We believe the higher P/B is deserved given lower cost of capital, stronger market position, market-share gain, and good corporate governance. We assign 1.0x P/B for E.Sun Securities given its RoE of 10-12% in 2026E, and 1x P/B for other subsidiaries and FHC's net debt.

The upside risks to our PO are (1) Better trading gain for bank subsidiary (2) Lower-than-expected credit cost, and (3) better-than-expected trade deal between the US and Taiwan, and/or the US and China

The downside risks to our PO are (1) Unexpected trading loss and higher-than-expected influx of NPLs and (2) Unexpected M&A which may need extra equity, and (3) any changes to tariff exempt status on semiconductors and related electronics by the Trump administration

Fubon FHC (FUISF)

Our PO of NT\$147.9 is based on sum-of-the-parts (SOTP) valuation using 2026 estimates, in which we apply: (1) 1.1x P/EV for Fubon Life, with a 4.0% investment return assumption vs. the company's assumption of blended 4.2% investment yield in its reported EV. Our estimates are now based on the new FX reserve rules and IFRS 17. (2) 1.6x P/B for Fubon Bank for ROE 15%. The P/B multiple is in line with major peer Cathay



Bank (3) 1.0x P/B for Fubon Hong Kong Bank for 8% RoE (4) 1.5x P/B for P&C subsidiary for normalized ROE 15% (5) 1.0x P/B for 8% RoE for the securities subsidiary, and (6) 1x P/B for other subsidiaries and FHC's net debt/cash.

The upside risks to our price objective: (1) Better-than-expected trading gains and recovery of NPLs, (2) bond yields to trend higher, or yield curve steepening, and (3) better-than-expected trading gains for the life business, and (4) better-than-expected trade deal between the US and Taiwan, and/or the US and China

The downside risks to our price objective: (1) Unexpected global tail risks hampering capital markets and resulting in trading/FX loss, (2) flattening of US bond yield curve postponing the recovery pace of new money yield, (3) worse-than-expected asset write-offs if Fubon's bond portfolio issuer, and (4) any changes to tariff exempt status on semiconductors and related electronics by the Trump administration.

Analyst Certification

I, Michael Li, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Agricultural Bank of China	ACGBF	1288 HK	Winnie Wu
	AIA Group Limited	AAIGF	1299 HK	Michael Li
	Bank of Chengdu	XBCQF	601838 CH	Wenqing Han, CFA
	Bank Of Communications Co-A	XNCTF	601328 CH	Winnie Wu
	Bank of Hangzhou	XBHCF	600926 CH	Wenqing Han, CFA
	Bank of Jiangsu	XBJCF	600919 CH	Wenqing Han, CFA
	Bank of Ningbo	XBINF	002142 CH	Wenqing Han, CFA
	Cathay FHC	XCIF	2882 TT	Michael Li
	China CITIC Bk	CHBJF	998 HK	Emma Xu
	China Construction Bank	CICF	939 HK	Winnie Wu
	China Galaxy Securities Co Ltd	XCXYF	601881 CH	Susie Liu, CFA
	China Industrial Bank Co. Ltd.	INBLF	601166 CH	Emma Xu
	China International Capital Corporation	CNICF	3908 HK	Susie Liu, CFA
	China Life Insurance	CLJF	2628 HK	Michael Li
	China MERCH BK -A	CHKF	600036 CH	Winnie Wu
	China Merchants Securities	XMRKF	600999 CH	Susie Liu, CFA
	China Merchants Securities	CHMSF	6099 HK	Susie Liu, CFA
	China Pacific Insurance Group	CHPXF	2601 HK	Michael Li
	China Securities Corp	CSCFF	6066 HK	Susie Liu, CFA
	Chongqing Rural Commercial Bank	COGQF	3618 HK	Wenqing Han, CFA
	Chongqing Rural Commercial Bank - A	XCRQF	601077 CH	Wenqing Han, CFA
	CITIC Securities	CIIHF	6030 HK	Susie Liu, CFA
	CITIC Securities -A	CIISF	600030 CH	Susie Liu, CFA
	CTBC FHC	CTFHF	2891 TT	Susie Liu, CFA
	E.Sun FHC	ESUFF	2884 TT	Michael Li
	Fubon FHC	FUISF	2881 TT	Michael Li
	Futu Holdings	FUTU	FUTU US	Emma Xu
	FWD Group	XFGVF	1828 HK	Michael Li
	GF Securities	GFSEF	1776 HK	Susie Liu, CFA
	GF Securities	XMPQF	000776 CH	Susie Liu, CFA
	Guolian Minsheng Securities	XLTYF	601456 CH	Susie Liu, CFA
	Guotai Haitong Securities	GUOSF	2611 HK	Susie Liu, CFA
	Guotai Haitong Securities-A	XOQOF	601211 CH	Susie Liu, CFA
	Hithink Royalfush	XHIFF	300033 CH	Susie Liu, CFA
	HKEX	HKXCF	388 HK	Michael Li
	HSBC	XHSBF	5 HK	Emma Xu
	Huatai Securities	XHTLF	601688 CH	Susie Liu, CFA
	Huatai Securities	HUATF	6886 HK	Susie Liu, CFA
	Ind & Comm BK	IDCBF	1398 HK	Winnie Wu
	Ind & Comm BK -A	XIKNF	601398 CH	Winnie Wu
	PICC Group	PINXF	1339 HK	Michael Li
	PICC Property & Casualty	PPCCF	2328 HK	Michael Li
	Ping An Bank	XPABY	000001 CH	Emma Xu
	Ping An Insurance	PIAIF	2318 HK	Michael Li
	Ping An Insurance	XPSPF	601318 CH	Michael Li
	UP Fintech Holding	TIGR	TIGR US	Emma Xu
	ZhongAn Online P&C Insurance	ZZHGF	6060 HK	Michael Li
NEUTRAL				
	Agricultural Bank Of China-A	XACNF	601288 CH	Winnie Wu
	Bank Of China	BACHF	3988 HK	Winnie Wu
	Bank Of China -A	BACZF	601988 CH	Winnie Wu
	Bank of Comm	BKFCF	3328 HK	Winnie Wu
	Bank of Nanjing	XBNMF	601009 CH	Wenqing Han, CFA
	Bank of Suzhou	XCZIF	002966 CH	Wenqing Han, CFA
	BOC Hong Kong Holdings Ltd	BNKHF	2388 HK	Winnie Wu
	Chailease	XCAHZ	5871 TT	Susie Liu, CFA
	China Construction Bank -A	XCTBF	601939 CH	Winnie Wu
	China Galaxy Securities Co Ltd	CGXYF	6881 HK	Susie Liu, CFA
	China Intl Capital Corp - A	XCCIF	601995 CH	Susie Liu, CFA
	Jiangsu Changshu Rural Commercial Bank	XBJTF	601128 CH	Wenqing Han, CFA
	Postal Savings Bank of China - A	XPSSF	601658 CH	Winnie Wu
	Qfin Holdings	QFIN	QFIN US	Emma Xu
	Qfin Holdings	QFNHF	3660 HK	Emma Xu

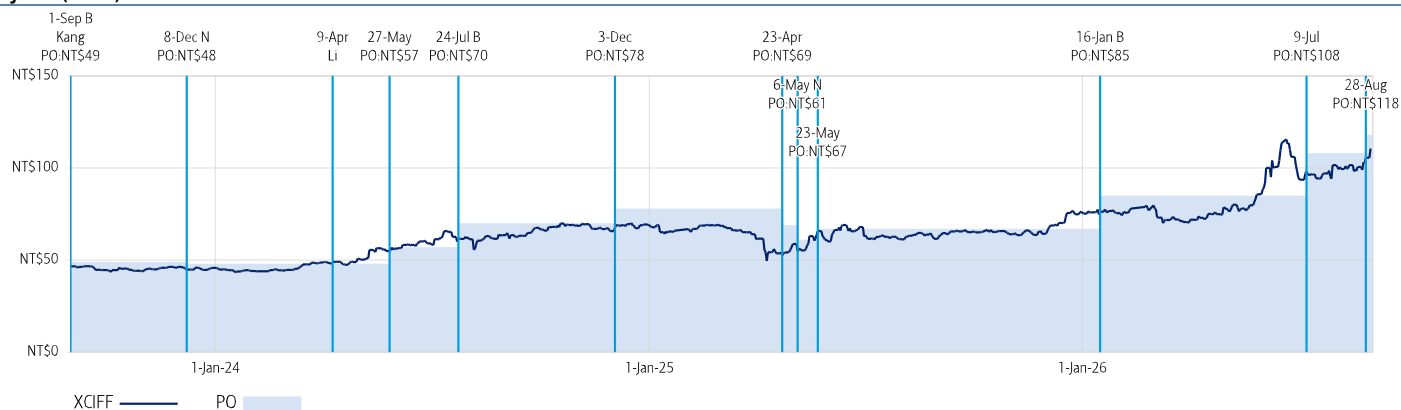
Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Standard Chartered	XCHBF	2888 HK	Emma Xu
UNDERPERFORM				
	Bank of E Asia	BKEAF	23 HK	Emma Xu
	Bank of E Asia-A	BKEAY	BKEAY US	Emma Xu
	BOC International (China)	XLTF	601696 CH	Susie Liu, CFA
	China CITIC Bk -A	CHCKF	601998 CH	Emma Xu
	China Everbright Bank	CEBCF	6818 HK	Emma Xu
	China Everbright Bank	XCBF	601818 CH	Emma Xu
	China Life Insurance	XCNNF	601628 CH	Michael Li
	China Merchants Bank	CIHCF	3968 HK	Winnie Wu
	China Minsheng Banking Corp Ltd	CGMBF	1988 HK	Emma Xu
	China Minsheng Banking Corp Ltd -A	CMAKF	600016 CH	Emma Xu
	China Pacific Insurance Group	XQJNF	601601 CH	Michael Li
	China Securities Corp	XCSIF	601066 CH	Susie Liu, CFA
	Lakala Payment Co Ltd-A	XLPPF	300773 CH	Wenqing Han, CFA
	New China Life	NWWCF	1336 HK	Michael Li
	New China Life	XNWCF	601336 CH	Michael Li
	Orient Securities	XOBNF	600958 CH	Susie Liu, CFA
	Orient Securities	XONQF	3958 HK	Susie Liu, CFA
	PICC Group	XPIDF	601319 CH	Michael Li
	Postal Savings Bank of China	PSBKF	1658 HK	Winnie Wu
	Shanghai Pudong Dev Bank	SHVPF	600000 CH	Emma Xu
	Shanghai Rural Commercial Bank	XQZAF	601825 CH	Wenqing Han, CFA
RVW				
	Lufax Holding	LU	LU US	Emma Xu

Disclosures

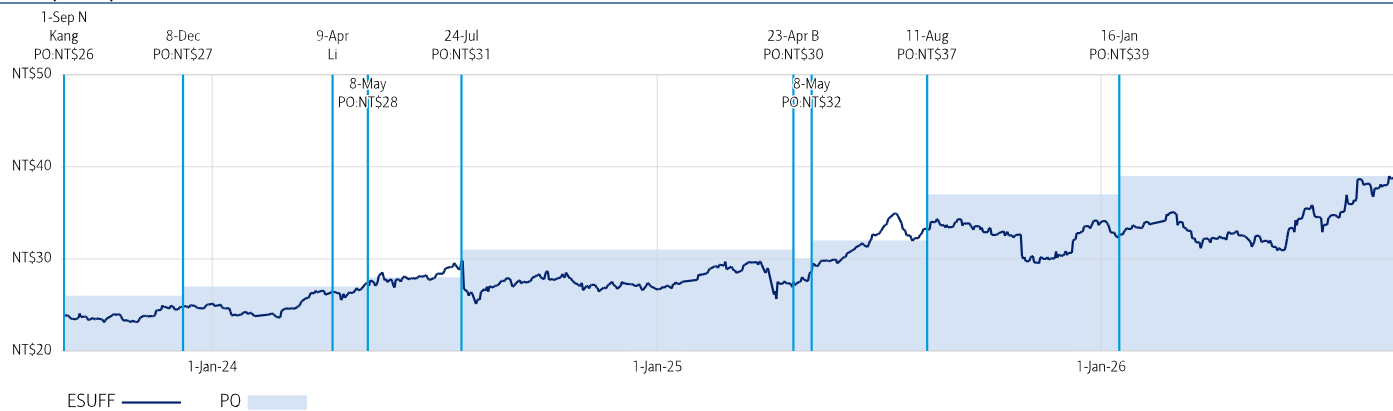
Important Disclosures

Cathay FHC (XCIFF) Price Chart



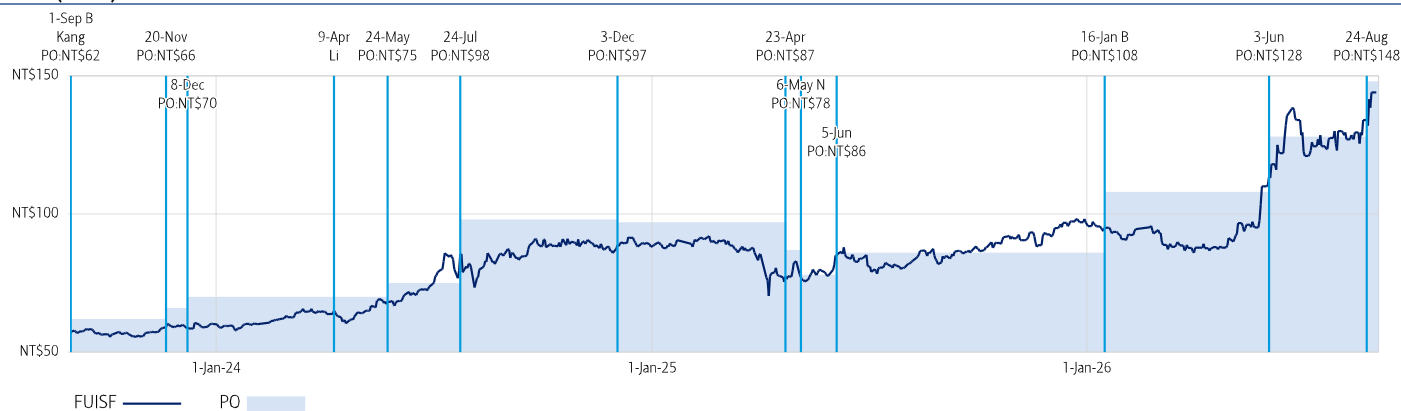
B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

E.Sun FHC (ESUFF) Price Chart

B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Fubon FHC (FUISF) Price Chart

B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Financial Services Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	165	55.37%	Buy	109	66.06%
Hold	80	26.85%	Hold	53	66.25%
Sell	53	17.79%	Sell	36	67.92%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
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Underperform	N/A	≥ 20%

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